

Atchíson

The background of the entire page is a photograph of an ice cave. The upper half shows a close-up of a textured ice wall with a single jellyfish hanging from it. The lower half shows a person standing in a narrow ice passage, holding a flashlight that illuminates the path ahead. The overall color palette is a range of blues, from deep navy to bright cyan.

September 2025



Monthly Market Update

Illuminating
the way forward



Key Events in September 2025

September – broadly a positive month for global investment markets!

- The Australian share market fell -0.9% over the month, snapping its five-month winning streak as volatility lingered following earnings season and renewed economic uncertainty. Nine out of the 11 sectors reported losses.
- The International share market rose by approximately +2%, supported by expectations of rate cuts, easing macro data, and renewed investor optimism about earnings.
- U.S. equities recorded a fifth consecutive month of gains. The S&P 500 posted its best September month in 15 years, gaining +3.7%, in what has historically been the worst month for stocks. This was supported by a U.S. Federal Reserve rate cut.
- The broader European share market, as represented by the STOXX Europe 600, rose +1.5%, the best September for European equities since 2019. Major drivers included optimism over resilient U.S. economic data, and the relative valuation appeal of under-owned European equities compared with their U.S. peers.
- Southern European markets (e.g. Spain, Italy) were among the relatively stronger performers within Europe so far in 2025, benefiting from relative valuation support and domestic tailwinds.
- Spain has been singled out as one of the outperformers supported by strong credit rating upgrade momentum and bank sector strength. In contrast, Germany faced rising inflationary pressures (to ~2.4 %) which may weigh on equity sentiment.
- Emerging markets (EMs) returned +6%, outperforming developed peers - driven particularly by China, where the China Top 50 Index gained +6.7%. Improving macro data and continued policy support underpinned performance.
- The U.S. Federal Reserve cut the federal funds rate by 25 basis points (bps), bringing it to the 4.00%–4.25% range, in line with expectations. It is the first reduction in borrowing costs since December.
- The Reserve Bank of Australia (RBA) left the cash rate unchanged at 3.60% at its September meeting, citing a need to observe September quarter inflation numbers.
- The UN's World Economic Situation and Prospects September update projects global growth of about 2.5% in both 2025 and 2026 — down from 2.8% in 2024, and well below the pre-pandemic average of ~3.2%.
- The OECD's Interim Report September 2025 emphasised policy uncertainty, trade tensions, and structural shifts (e.g. in technology) as key risk factors.
- Technology, AI, supply chains are rising in importance as structural variables. The World Economic Forum's Chief Economists' Outlook emphasises that trade realignments, AI-driven change, and fiscal vulnerabilities are deeply interlinked risk multipliers.
- Central banks remain in a delicate balancing act: trying to support growth while avoiding reigniting inflation, especially in regions where labour markets or pricing pressures remain tight.
- More broadly, global factory activity declined over the month, hurt by soft demand in both China and the U.S. The Eurozone's manufacturing Purchasing Managers' Index (PMI) also fell back into contraction territory.
- China's manufacturing PMI remained in contraction for a sixth straight month (49.8 in September, up slightly from August). Weak domestic demand, U.S. tariffs, and cautious business sentiment were cited as drags.
- In Asia, the export-oriented economies felt pressure. Japan and Taiwan saw sharper contractions, while South Korea posted a modest rebound in manufacturing output.
- Global sovereign bond markets were either neutral or marginally up over the month, as soft economic data revived expectations of further central bank easing and led to a modest decline in yields.
- In the UK, 30-year gilt yields hit ~5.72 %, the highest levels since 1998. German Bunds and other core euro area bonds also saw upward yield pressure, and yield spreads widened to reflect fiscal and political risk differential.
- Australian 10-year yields rose modestly over the month.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 30 September 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	-0.9	4.6	10.7	15.0	12.9	10.0
Australian Small Companies	3.7	14.8	20.1	14.5	8.5	9.0
International Shares (Unhedged)	2.0	6.2	23.0	22.7	16.3	13.2
International Shares (Hedged)	2.4	7.4	16.8	21.1	14.1	12.2
Emerging Markets (Unhedged)	6.0	10.2	22.7	16.9	8.0	7.8
Australian Property Securities	-2.3	8.6	12.7	17.5	11.0	9.0
Global Property Securities (Hedged)	0.9	3.5	-2.2	6.8	4.5	
Global Listed Infrastructure (Hedged)	1.0	4.2	8.3			
Australian Bonds	0.1	0.3	3.8	4.2	-0.4	2.0
Global Bonds (Hedged)	0.8	1.3	2.1	3.7	-1.3	
Cash	0.3	0.9	4.3	4.2	2.6	
Change over the month						
AUD/USD	0.98%	US\$ 0.6602				

Past performance is not a reliable indicator of future performance.

Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

The Australian share market returned -0.9% for the month and around +11% for the year.

Materials stood out as the strongest performer, rising +6.1% on the back of strength in gold and diversified miners. Utilities also posted modest gains.

These gains, however, were outweighed by 9 out of 11 sectors reporting losses over the month. Financials fell -1.4%, detracting meaningfully from overall performance given their benchmark weight. Energy declined -9.8%, another key laggard, as lower oil prices drove sharp declines. Health Care (-4.1%) and Real Estate (-3.0%) also underperformed, alongside declines in Consumer Staples (-4.3%) and Communication Services (-2.7%).

Overall, the strength in Materials was not enough to offset broad-based weakness, leaving the index modestly lower for the month.

Despite the gold price recently surpassing US\$3,800 per ounce and Gold Miners returning +94% year-to-30 September 2025, there appears to be further upside given the structural tailwinds currently at play.

Stocks that provided notable gains were DroneShield Ltd up +41% due to its inclusion in ASX 200 and improving sales of its counter drone technology product. NRW Holdings Ltd gained +20.5% on news that the contract services provider is looking to buy Fredon Industries. Rare earths producer shares surged +21% on the back of increase in the price of neodymium (a key ingredient in magnets that power EVs) which rose +58%.

Stocks that took a dive during the month were Nine Entertainment Co Holdings Ltd with a fall of -27.5% but due to shares going ex-dividend. IPH Ltd fell -21.09% despite there being no news and still suffering since the release of its FY 2025 results in August. Bapcor Ltd share price fell -20.4% due to poor operating performance and disruption the Board level.

The Australian share market has been showing signs of being stretched based on pockets of benign earnings growth forecast, particularly across large cap stocks. However, key areas that remain attractive include Consumer Discretionary and Industrials names which have the potential to benefit from a cyclical upswing driven by incremental improvements in free cash flow margins and declining leverage.

Global Markets

Global developed-market equities returned approximately +2% this month and are up +23% for the 12 months (unhedged). EMs broadly posted very strong returns in September, with a composite gain of +6% and +23% for the 12 months.

The U.S. S&P 500 gained approximately +3.7%, supported by improving investor confidence, as the U.S. Federal Reserve cut interest rates for the first time this year. The Technology sector led the way, rising +7.5%, while Financials were flat and Consumer Staples, Materials and Energy all went negative. It is worth noting that a weakening U.S. dollar helps boost U.S. companies' terms of trade and export profits while also benefiting foreign investors looking to buy into the market.

STOXX Europe 600 rose +1.5%, the best September for European equities since 2019. Meanwhile, the FTSE 100 closed the month up +0.54%. British manufacturing activity, however, shrank at the fastest pace in five months, reflecting subdued domestic demand and fewer export orders.

France's equity market gained +2.5%, after underperforming in August because of political uncertainty. In contrast, German equities had a weak month in September returning -0.1%, with Germany's market moving sideways over the past few months after strong gains in the first half of the year.

EM equities performed strongly returning +6.2% for the month and +22.7% for the year. Despite this strength, EM valuations remain lower than in many developed markets. China's economy is deemed stable, with an "economic policy put option" - whereby the government provides a floor under risky assets through measures such as fiscal stimulus, government guarantees and/or direct asset purchases - to buoy confidence. Technology has been a big theme this year with China demonstrating strong capabilities in AI research. Export-led economies like Taiwan and Korea are already pivotal in global semi-conductor manufacturing, with the AI boom acting as a potential further catalyst.

According to the World P/E tracker the international share index had an estimated P/E ratio of 22.28x as of 3 October 2025 — just after September ended. This is above the 1-year average P/E of around 20.90x and considered to be expensive.

Bonds

Overall, the Bloomberg Global Aggregate Bond Index, a broad benchmark for sovereign, corporate and securitised debt, posted +0.8% and around +2.1% for the 12 months. Whilst the Australian Composite Bond Index returned +0.1% for the month and +3.8% for the 12 months.

The global bond market experienced upward pressure on yields, particularly in long duration bonds, as markets priced in inflation, fiscal deficits (the shortfall between government income versus expenditure), and reduced certainty around central bank support.

U.S. bond yields initially fell sharply in early September after data indicated a more pronounced weakening in the labour market and rising expectations of Federal Reserve rate cuts. However, bond yields retraced some of their earlier declines in the second half of the month, as most Fed members reiterated a cautious approach to easing policy, noting that tariffs were contributing to higher U.S. inflation. The U.S. 10-year bond yield ended the month 8bps lower.

In contrast, Australian 3-year bond yields rose 15bps and 10-year bond yields increased by 4bps, as stronger inflation data led investors to scale back expectations RBA rate cuts. Australia's 10-year bond yield has been 15-20bps above U.S. 10-year yields throughout September, the widest gap in almost a year.

Long bond yields, in general have been rising and yield curves steepening in recent months – a trend that accelerated in markets like Japan, the U.K. and parts of Europe over September.

In the broader corporate sector, spreads continued to tighten in September, supported by favourable technical factors and strong investor demand. Schrodgers notes that credit spreads are now close to their lowest levels in decades. This is partly due to duration being at near 20-year lows in many areas, meaning bond prices are less sensitive to changes in yields or spreads.

In the U.S. and Europe, corporate credit markets gained from a combination of spread tightening and modest yield moves, contributing to overall positive returns in investment grade space.

The U.S. high yield market returned about +0.76 % and the benchmark yield for U.S. high yield ended the month around +6.74 %, with spreads near 280 bps.

In Europe, the high yield market (unhedged, EUR) posted a more modest gain of around +0.45 % for the month, whilst EM corporate gained +0.95 %. Sovereign hard-currency EM bonds (EMBIG) also performed strongly gaining +1.62 %.

Currencies and Commodity Markets

Currency markets experienced some volatility after the U.S. Fed's September policy meeting, with the US dollar (USD) depreciating after the Fed's decision. This saw the Australian dollar (AUD) temporarily reach its highest level against the USD in almost a year, reaching US\$0.67, though it subsequently fell back around US\$0.66. There is a view that the USD remains over-valued and is expected to face continuing weakness, which should be a catalyst for EM assets (many EMs borrow in USD, therefore cheaper debt servicing).

Against the euro, British pound, and other major currencies, the AUD also appreciated, with cross rates broadly moving in line with U.S. dollar weakness and stronger commodity returns.

Gold prices surged to record highs above US\$3,900 per ounce on expectations of further interest rate cuts, and as investors moved into the safe-haven precious metal due to perceived economic and political uncertainty. The spot gold price (current price for immediate delivery) has climbed +48% so far this year, building on a +27% gain in the previous year.

Silver is in a catch-up trade climbing to US\$48.55 per ounce, its highest level since May 2011. The metal benefited from its strong industrial demand profile, particularly in sectors such as renewable energy, solar panels, and AI-related wiring and connectors.

The strength of gold and silver helped offset weakness in some bulk and energy commodities.

The RBA Index of Commodity Prices increased by +1.9% after increasing +1.2% in August. Over the past year, the index has been unchanged. Lower thermal coal, coking coal, and liquified natural gas prices have been offset by increases in gold, iron ore and rural commodity prices.

A key supply shock contributed to the price strength in copper, which was already under pressure from tight fundamentals. Thermal coal, coking coal, and liquid natural gas (LNG) continued to be headwinds within the commodity basket.



Outlook for Investment Markets

Economies slowing, but no recession. Most of the world's major economies have shown signs of slowing, as U.S. tariff risk remains the biggest and most common obstacle to growth. The impacts of higher tariff rates are yet to be fully felt in the U.S. economy. Fortunately, recession does not appear on the horizon anywhere, supporting the global expansion and ongoing bull market in equities.

In the U.S., domestic policies will lead to below-trend growth. In the Eurozone, economic activity appears to have stabilized around potential growth levels, while in the UK, momentum is easing following a surprisingly strong first half of the year.

Growth in China is slowing but not to worrisome levels, given some pockets of upside, while Brazil's economy has been hindered by high interest rates and tariffs. Tariffs have also shocked India's economy, but the trajectory of growth remains much more favourable compared to other EMs.

Most central banks are expected to continue easing rates.

Inflation appears to be either contained or trending lower with the U.S. and UK being exceptions. However, given risks to employment, the U.S. Fed is still poised to cut rates further. As a result, most central banks are in easing mode, a historically bullish condition for equities.

Recent business survey indicators suggest that growth is holding up in most countries however investors should keep an eye on industrial production numbers especially in Korea, Germany and Brazil. There are also signs of an underlying moderation in consumption growth in some major economies, including the U.S.

In today's economic environment, identifying relative outperformers and underperformers has become more challenging, as most regions face both upside and downside risks, ranging from macroeconomic, to specific industry and company valuations. Maintaining a diversified and relatively liquid portfolio remains prudent, allowing investors to capitalise on opportunistic reallocations as market conditions evolve.

Where to Invest?

- Global economic growth is slowing but not collapsing, while inflation is moderating yet remains sticky, especially in services and labour markets.
- With core inflation still hanging around, expect interest rates to remain higher for longer.
- Diversification is likely to matter more than trying to pick the next best performing asset class, strategy and fund manager.
- There remains a reasonable prospect that global equity markets will continue to deliver positive returns supported by resilient earnings and ongoing enthusiasm around AI and technology.
- Real assets and inflation hedges should form part of a diversified portfolio. Investments such as infrastructure, real estate, inflation-linked instruments, and commodity exposures can help cushion parts of the portfolio.
- Bonds and credit deserve an increase in allocation, especially government bonds with a 2-to-10-year maturity profile coupled with investment grade credit. These assets offer real income, potential capital gains if rates ease, and valuable portfolio diversification.
- Gold has rallied strongly to record-highs, underpinned by expectations of U.S. rate cuts and persistent geo-political risks. Investors should consider crystallising some gains and exploring alternatives such as platinum and oil, both of which are trading well below their all-time highs.
- For long-term investors looking for assets with low correlation to traditional markets, potential themes worth exploring include insurance-linked securities (catastrophe bonds), timber, and farmland. For those willing to take on additional risk, digital assets in cryptographic form, may also present opportunities.

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